Fundraising

Benchmarks

for Early-Stage Startups

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Revenue Growth

The Very Early Days

Chargebee published **data from 750 SaaS startups** that provides some good insight you can use to gauge performance in your very early days.

They found that the top 50% of SaaS startups hit $10K in revenue after an average of 94 days. They hit $100K in revenue in 331 (avg.). They reach 100 customers in 72.5 days (avg.).

Haves and Have Nots

ChartMogul analyzed **thousands of early-stage SaaS startups** and found a wide variance between fast and slow-growing companies, with the fastest companies outgrowing slower companies multiple times over in the early stages.

VCs write the most checks to the startups at the very top of this range (90-95th percentile). This demonstrates the weight they give to startups that have the potential to realize T2D3 growth (up next).

Triple, Triple, Double, Double, Double (T2D3)

Bessemer Venture Partners **released data in 2021** that supports the validity of the T2D3 model. They found that the average growth rate for companies between $1-10M ARR was approximately 200%, decreasing to about 60% for companies with more than $50M of ARR.

Y Combinator has published target benchmarks roughly consistent with T2D3, though more aggressive in some cases.

Top Benchmark

T2D3

Establish product-market fit

Reach $2M in ARR

Year One - Triple ARR to $6M

Year Two - Triple ARR to $18M

Year Three - Double ARR to $36M

Year Four - Double ARR to $72M

Year Five - Double ARR to $144M

Top Benchmark

Headcount Doubles at $25M

The most intensive hiring happens when statups reach a $25M valuation, typically at the Series A stage.

Early Focus on Engineering

Carta aggregated data **from more than 2,000 venture-backed startups** in 2022 and found that engineering hires account for just over 25% of total hires. Sales is a distant second at 12.7%.

The top four functions, engineering, sales, operations (8.2%), and customer success (7.1%), account for more than half of all hires at early stage tech startups.

Industry Exceptions

Research hires are sparse across most industries, with notable exceptions for pharma/biotech and medical devices, where they account for 31% and 17% of hires, respectively.

Design positions account for fewer than 5% of hires in most industries, however they triple to 15% for gaming startups.

While engineering hires make up more than a quarter of hires across the board, they're unusually high in hardware and electronics, where they account for approximately 43% of all hires.

Series A Hiring

More than 70% of startups valued between $1-10M have 25 or fewer employees, with a median employee count of 15.

Among startups with valuations between $10-25M, a smaller majority (57.5%) have 25 or fewer employees and the median count rises to 20.

Hiring picks up quickly when companies reach a $25M valuation. Beyond this point, the majority of companies (51.4%) have 50 or more employees.

Industry Exceptions

In 2022, about 60% of startup employees work out-of-state in companies with a valuation between $25-50M.

Capital Requirements

Top Benchmark

$13M Average Series A

Founders accepted $13M for 6-18 months of working capital in exchange for a 10-30% equity stake, on average.

Manage your capital requirements with a detailed and accurate financial model. A model gives you visibility into your actual capital needs, allowing you to avoid overfunding, unnecessary dilution, and uncertainty.

The figures below, largely **compiled by Visible,** show the average round size at each stage. These do not account for the industry in which the round was raised, although there can be significant variance.

Generally speaking, SaaS, marketplaces, and ecommerce rounds have gravitated toward the lower end of the spectrum, while emerging technologies and biotech rounds have been on the high side.

Avg. Amt.	$100K-5M	$1-5M	$13M	Avg. $7-10M	$30-100M
Covers	12-18 Mos.	6-18 Mos. Operations	12-18 Mos. Operations	Operations Gap to Profitability	Expansion
Valuation	Varies	Varies	$22M	Avg. $30-60M	$100M+
Stake	Varies	Varies	10-30%	10-20%	Varies

Unit Economics

Unit economics are critical to demonstrate your company's viability and health relative to the larger market of opportunities.

These three rules, **shared by Crunchbase,** can help you demonstrate the potential for sustainable growth and scalability.

The Rule of 40

One popular benchmark you should know about is the rule of 40, which balances profitability with growth. EBITDA margin (percentage) added to annual growth (percentage) should total 40% or more.

This is especially important for SaaS startups, which are typically not profitable in the early stages. Demonstrating the rule of 40 shows that you can become profitable and sustainable in the long run.

The Rule of 4

Your ratio of growth to churn should be 4 or higher. Meeting this benchmark is a challenge for most early-stage SaaS companies, as churn is typically in the double digits.

You can impress potential investors by demonstrating that you meet the rule of 4.

LTV:CAC Ratio 3:1

If your ratio is lower, look for ways to improve sales, pricing, and acquisition strategies.

LTV:CAC - The Rule of 3

A 3:1 LTV:CAC ratio shows that you have a healthy balance of growth and profitability. While a higher ratio is generally good, it can become a red flag if it rises too high.

6k
5k
4k
3k
2k
1k
0k
1:1 3:1 6:1

A 5:1 or 6:1 ratio, for example, can signal to investors that you are spending far less on customer acquisition than your competitors, and your overall acquisition strategy may be underdeveloped. This could cause you to miss out on valuable opportunities in the marketplace.

Expense Metrics

S&M Expenses ≥ 50% of Total ARR

Sales and marketing are typically the highest cost centers in SaaS startups.

There are three primary functions where you should concentrate your reporting around expenses: research and development, general and administrative, and sales and marketing.

These guidelines come from Bessemer Venture Partners' 2021 Scaling to $100 Million report.

Research & Development

R&D expenses include product, product management, product development, engineering, and design.

Early-stage investors expect to see significant early investment in this area, on average 95% of total ARR, decreasing to about 35% by the time a startup reaches $100M of ARR.

General & Administrative

G&A expenses include executive leadership, finance, legal, HR, etc.

G&A expenses plateau as a company grows. Startups generating $1-10M of ARR spend 70% of ARR on G&A, on average. This expense falls to about 20% of ARR when a startup reaches $50M of ARR, and typically holds steady at 20% as the company continues to scale.

Sales & Marketing

S&M expenses can include sales and marketing compensation, content and brand marketing, demand generation, some customer success expenses, and more.

S&M is unlike the other two categories in that it tends to scale more linearly with the company's overall growth over time.

Early S&M expenses can be very high - up to 100% of ARR or more. For startups generating $10-25M ARR, the average falls to about 70% of ARR.

When a company reaches $100M+ of ARR, S&M expenses average about 50% of ARR, and they remain steady in that range even into maturity.

Customer Churn

Top Benchmark

Monthly Gross MRR Churn ≤ 3-5%

Monthly gross MRR churn can be 5% in the first year, but will drop with product-market fit.

Gross Churn:

The percentage of recurring revenue lost due to cancellations and downgrades.

Net Churn:

The net percentage of total MRR/ ARR lost from existing subscriptions/ customers in a period.

Logo Churn:

The percentage of customers who cancel or fail to renew their subscriptions in a period.

Revenue Churn:

The percentage of revenue lost by customers cancelling or failing to renew in a period.

25th

4%	2.8%	3.2%	2.7%
8.4%	5.7%	5.4%	4.5%

Percentile 2.9% Median 5.1%

75th

Percentile 16.7% 10.6% 10.3% 8.1% 9.7% 8.9% 8.4%

About Forecastr

Forecastr is a financial modeling solution that gives you a quick and convenient interface to measure,

track, and project all your financial data in a single dashboard.

During our 30-day white glove onboarding, our team of experienced startup financial analysts help you select the best metrics to track and build a model that's customized to fit the unique needs of your startup.

Improve your performance and set yourself up for success in fundraising. Forecast with confidence.

Amar Gautam
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